

## **EFS-06-TRADING ETFs**

### **Overview:**

In this lecture, faculty will be covering concepts related to various aspects of ETF (Exchange Traded Funds) trading

### **Key takeaways from the lecture:**

- Basic understanding of the impact of corporate actions on Index movement
- Two specific problems with the Mutual Fund Structure that ETF structure solves
- ETF Primary Market Functioning - Creation and Redemption of ETF units
- High level understanding of the computations behind indicative NAV, given ETF stock composition and cash component
- Secondary Market scenarios - Market at Premium and Market at Discount
- ETF Industry Metrics
- Overview of Trading models - Low Frequency, Mid Frequency and High Frequency strategies

### **Pre-requisites:**

- A basic understanding of Excel and R or Python
- A basic understanding of Equity Markets

### **File reference:**

- Please download the file set for the class 'EFS-06-File' available in course "Equity, FX & Futures Strategies"

### **Assignments/Quizzes:**

- EFS-06-Assignment will be available post lecture

### **Additional Read:**

Blog: [Trading with ETF as a Lead Indicator \[EXCEL MODEL\]](#)  
[Pairs Trading on ETF – EPAT Project Work](#)

**Recommended time for the session & related coursework: 9 hours**